

DISSENTING OPINION BY M. PESSÔA.

[Translation.]

I.

THE LACK OF JURISDICTION.

I.—The Court can only have jurisdiction under the terms of Articles 13 and 14 of the Covenant, or of the Statute, which form its constitutional laws.

According to both of these instruments, for the Court to have jurisdiction it is not enough that the Parties should be States or Members of the League of Nations (Articles 34 and 36 of the Statute); it is also essential that the case, in itself, should be "of an international character" and should be governed by international law (Articles 13 and 14 of the Covenant and 38 of the Statute). The latter condition has already been recognized and stated by the Court on more than one occasion: Judgments No. 2, pages 12 and 16; No. 13, pages 27 and 28, etc. In all cases between two States in which one has taken up the defence of the interests of its nationals, for instance in the *Wimbledon*, *Mavrommatis*, *Upper Silesian* cases, etc., the Court, in order to establish its jurisdiction, has always shown that the subject-matter of the dispute was governed by international law and that the purpose of the decision was to enforce principles or apply instruments of international law.

Now, the judgment itself admits that the Franco-Serbian dispute "is *exclusively* concerned with relations between the borrowing State and private persons, that is to say, relations which are, in themselves, within the domain of *municipal law*". (Page 18.)

It therefore seems to me clear that the Court is not competent to deal with this dispute.

Even if an extension of the Court's jurisdiction is desirable, it is necessary to begin by modifying the texts governing that jurisdiction.

2.—In order to establish the Court's jurisdiction in this case, the judgment (page 18) says that the Serbian Government, having "contended that the service of the loans was being effected by it in full conformity with the obligations resulting from the contracts. This view was not shared by the Government of the French Republic. As from this point, therefore, there exists between the two Governments a *difference of opinion*..... It is this *difference of opinion* between the two Governments and not the dispute between the Serb-Croat-Slovene Government and the French holders of the loans, which is submitted by the Special Agreement to the Court."

There is however no distinction between this *difference of opinion* and "the dispute between the Serbian Government and the French bondholders".

Serbia held that the service of the loans should be effected in paper; the French holders claimed payment in gold.

The French Government decided to take up the case on behalf of the bondholders.

What is the difference of opinion between the two Governments? The same, absolutely the same as that existing between Serbia and the bondholders: the Serbian Government continues to defend payment in paper, and the French Government, representing the claims of the bondholders, continues to maintain that payment should be in gold, as the bondholders contended. There is no difference.

The fact that the two are identical is so evident that the judgment is unable to avoid admitting it (page 18): ".... fundamentally", it says, the difference of opinion between the two Governments is "*identical* with the controversy already existing between the Serb-Croat-Slovene Government and its creditors".

But, if the difference of opinion between the two Governments is identical with the controversy existing between the Serbian Government and its creditors, a dispute which, according to the judgment, "is exclusively concerned with relations at municipal law" (page 17) and consequently is outside the Court's jurisdiction, it is not easy to see why and how the difference of opinion between the two Governments can be within that jurisdiction.

3.—The Court now contends that it is not only questions of international law which may be submitted to it. And in favour of this new doctrine, it cites paragraph 2 of Article 36 of the Statute, according to which States may recognize as compulsory the Court's jurisdiction in legal disputes concerning "the existence of any fact which, if established, would constitute a breach of an international obligation". In support of this clause, the Court observes that Article 13 of the Covenant includes the disputes above mentioned "among those which are generally suitable for submission to arbitration or judicial settlement".

In the first place, however, the terms of Article 36, paragraph 2, only apply in respect of *the optional clause régime*, a special régime, differing so widely from the normal régime, that the Statute specifies separately the cases in which the Court has jurisdiction under the two régimes (Articles 36 and 38). In the second place, in the Franco-Serbian case there is no fact which, if established, would constitute a breach of an *international* obligation; there are contracts concluded between, on the one hand, a Government, and on the other, banks, companies or private individuals, contracts which are governed by the *municipal* law of the debtor or of the creditor, as is recognized by the Court itself, and the breach of which is therefore merely a matter of *private* law.

4.—Another consideration. A State may take up a case on behalf of its nationals. It is by application of this principle that France has assumed the defence of the interests of the French bondholders before the Court.

But who are in this case the French nationals? Who are the French bondholders?

No one knows. No one can know. Having regard to the nature of the bonds, which are freely transferable, the French bondholders at the time of the Special Agreement may even no longer be the holders of the bonds. And in that case, how is the intervention of France to be justified? The French Government itself does not know who the nationals, whose interests it is defending, are. In the *Mavrommatis*, *Wimbledon* and *Upper Silesian* cases, it was well known who the Greek or German nationals concerned were. The respect-

ive proceedings contained their names. Here it is not so; they are not known and there is no means of knowing them. In this suit, we have a State taking up a case on behalf of persons unknown and anonymous.

It is true that Serbia, in spite of this, has accepted the Special Agreement; but the Court's jurisdiction cannot be based on the wishes or sufferance of the Parties. The Court either is competent under its Statute, or is not competent. If it is not competent, no agreement between the Parties can give it powers which its constitutional texts withhold from it.

5.—For the reasons set out above, in my opinion the Court should have declared that it had no jurisdiction and thus left the States free to have recourse to direct agreement or arbitration.

II.

THE INTERPRETATION OF THE PARTIES.

6.—There is no doubt that the gold clause appears sometimes in the contracts, sometimes in the bonds and sometimes in the prospectuses of the Serbian loans. But this circumstance is of no importance for the purpose of giving judgment in the question. What must be ascertained is whether this clause really represents the results of a previous considered and deliberate agreement between the Parties, and whether it represents an intention and definite undertaking on the part of Serbia to bear the depreciation of French money. Now the evidence produced in this connection by the Serbian Government has given rise to doubts in my mind which the arguments of the judgment have not succeeded in overcoming.

7.—The depreciation of the franc began in 1915. At that time the pound sterling rose to frs. 27.96 (instead of 25.22) and the dollar to frs. 6.09 (instead of 5.18). In 1916 the extremes were: for the pound, frs. 27.81 to 28.97; for the dollar, frs. 5.86 to 6.50. As from 1919, the fall increased in alarming proportions, as is shown by the following table of averages:

<i>Years.</i>	<i>Pound sterling.</i>	<i>Dollar.</i>
1919.	31.844	7.307
1920	52.676	14.476
1921	52.204	13.541
1922	54.633	15.013
1923	75.689	16.572
1924	85.682	19.414

In 1925 the depreciation increased still further (£1 = 102.237 frs.; \$1 = 21.17). In 1926, in July, a pound equalled 243 francs! In the second half of that year a reaction set in: the franc was reascending in value, and since 1927 it has represented about $\frac{1}{5}$ of its value (£1 = 124.21; \$1 = 25.50).

Now from 1915-1928, or for nearly fourteen years—twenty-seven completed periods of six months—the holders of the Serbian loans, in spite of the enormous depreciation of the franc and the loss of millions which this depreciation represented for them, quietly accepted, without protest or claim, payment of the interest on their bonds in paper francs depreciated to the extent indicated. Is it conceivable that they would have acted in this way if they had been convinced that the contracts guaranteed them payment in gold?

This seems to show that, in the eyes of the creditors themselves, the gold clause attached to the payment of interest and redemption of the loans had not the significance now attributed to it.

8. —As regards the judgment, “the period which may have significance with respect to the conduct of the French bondholders is during the years from about 1919 to about 1925”, for before 1919 the difference between the value of French currency and the gold basis was “slight”, and in 1925 “it thinks” that the diplomatic negotiations between the two Governments began (pp. 37-38).

The depreciation of the franc began in 1915 and not in 1919, as we have shown above, and even at the beginning it was not so very slight, since it exceeded 10 %, which on a total amount of interest exceeding 40 millions, represents a somewhat considerable sum. As regards the latter part of the period during which the bondholders received payments

in *paper*, the Special Agreement, which is dated *April 19th, 1928*, and which must hold good against any information not supported by proof, states in its first article that these payments had taken place "hitherto" (*jusqu'à présent*), i.e. until that date. We shall be right therefore in placing this period between 1915 and 1928.

But let us leave this point and accept the period fixed by the judgment, that is to say 1919-1925.

We then find ourselves confronted with the following fact :

The total value of the Serbian loans is 910 million francs. Their annual interest equals 40,725,000 francs. These figures, according to the judgment, represent *gold*.

In 1919, the depreciation of the French bank-note was 21 %. In receiving in *paper* their 40,725,000 francs of interest, the bondholders lost 8,552,250 francs. In 1920, the depreciation was 53 % and the loss 21,584,250. In 1921, the depreciation was 52 % and the loss 21,177,000. In 1922, the depreciation 54 % and the loss 21,991,000. In 1923, the depreciation 67 % and the loss 27,285,750. Finally, in 1924, the depreciation was 71 % and the loss 28,914,750.—We will stop there and omit the first half of 1925.

So that from 1919 to 1924 the holders of the Serbian loans—including holders who may be described as *permanent* holders such as bankers, companies, possessing *from the date of subscription* thousands of shares—received, instead of 244,350,000 francs, *less than half*, i.e. 114,844,500 francs, thus suffering a loss of 129,505,500 francs!

Notwithstanding this colossal loss they never addressed a protest or claim either to the Governments or to the courts or even to the papers!

9.—It will be said that all the bondholders are not French bondholders, and that the whole of this enormous loss cannot be regarded as having been borne by the latter who are the only ones represented in this case. But the great majority consists of French bondholders, the greater part of the losses falls to their share and their inaction clearly shows that they also were certain that the debtor was not obliged to pay in gold. The silence of the creditors of other nationalities shows that this conviction was unanimous.

10.—The judgment says to explain the inaction of the creditors that “there were large numbers of them [French bondholders]; it required time for them to arrange for concerted action and to interest the French Government in their case”.

But the French bondholders had no need to organize themselves and concert measures for the defence of their rights. This defence was organized from the very beginning of the fall of the franc, for the *Association nationale des Porteurs français de Valeurs mobilières*, which asked the French Government to intervene in this case, has existed since 1898 and its object is precisely “the defence of the interests of French holders of French and foreign securities issued or negotiated in France”, as is expressly stated by Article 1 of its statutes. Furthermore, the bonds of the loans are chiefly in the hands of companies, bankers and capitalists, and these have lawyers at their disposal and very well know how to approach the governments and the courts.

11.—It is also contended that as bonds transferable from hand to hand are concerned, there is no way of identifying these holders in order to compare the individual interpretation of each one of them with the interpretation which follows from the actual wording of the contracts. The judgment however regards the French bondholders as perfectly identified, otherwise it would not have recognized the French Government's capacity to appear before the Court. For the purposes of our argument, however, this identification is not necessary, since what we contend is that none of the bondholders, whatever their name, nationality, capacity or profession may be, has ever regarded the contracts as being gold contracts. —The transferability of the bonds strengthens our argument. It creates a presumption that the number of holders during the period of six years fixed by the judgment must have been really enormous and, in spite of this, there has been no opposition in any country to the payment of the Serbian loan *in paper!*

12.—It is therefore an indisputable fact that from 1915, the date of the beginning of the depreciation of the franc, to

1928, the date of the Special Agreement, or, according to the judgment, from 1919, the date when the depreciation became more marked, to 1925, the date on which "it would appear" that the diplomatic negotiations began, Serbia *always paid in paper*, and the subscribers and holders of bonds *always* received payment in *paper*, thus suffering a loss which, during the period from 1919 to 1924 alone, amounted to 129,505,500 francs out of 244,350,000!

Such is the interpretation placed upon the contracts by the Parties.

13.—But other facts, of the utmost importance, show that such was the general belief. The proceedings in the case have indeed enabled it clearly to be seen that not only the bondholders but also the bankers and, which is more serious, the French Government itself, did not construe the contracts otherwise.

Thus, whenever Serbia asked for payments in gold on account of her loans, the banks made her pay an additional sum described as a special premium.

Thus again, in 1921, Serbia not yet having received a portion (14 million francs) of her 1913 loan, this sum was remitted to her in *paper francs* which were already *much depreciated* (£1 = frs. 52.204; \$1 = 13.541).

And again, when, in consequence of difficulties arising out of the war, France, in agreement with England, undertook to furnish Serbia with the funds necessary for the payments due to the holders of these *same loans*, it was in *already depreciated paper francs* that she provided the sums asked for. Counsel for the French Government has stated that the use to which the sums in question were to be put was not known; but Serbia by means of various documents has proved the contrary.

14.—It is said that these facts cannot be used in argument against the bondholders, who were not responsible for them. But they serve to show how the contracts were interpreted by all those who took part in carrying them out. Moreover, with regard to the last fact mentioned (the furnishing of sums in *paper* money to Serbia by the French Government for the payment of these same loans), as the Party appearing before

the Court is not the bondholders but the French Government itself, the fact can perfectly well be used against the latter.

15.—It is easy to understand why the loans have always been interpreted in this way.

At the date of the issue of the loans, the French bank-note had for a long time had the same value as gold; its credit was solidly placed on universal confidence and it offered the most complete guarantees of stability. The expressions *paper franc*, *French franc*, or *gold franc* were used indifferently; all were *francs*. Each of these expressions conveyed *the same idea*, seeing that the note and gold were exactly equivalent. Whether one paid in *metal currency* or in *paper currency*, it was always payment in gold. No one imagined that this parity could disappear. The gold clause was thus merely regarded as a guarantee that the French bondholder would not be exposed to surprises resulting from the variations of foreign exchange and would be paid in his national currency, that is to say, francs.

This has been recognized by the judgment of the Court of Paris of July 26th, 1926, which, in a case to which the Brazilian Government was a Party, decided that the gold guarantee, undertaken in that case by Brazil, was only intended to "*give to its own currency a certain stability which it did not possess at the time of the contract*". (Clunet, 1927, p. 95.)

This is admitted by the French Case itself: after recalling that stipulations regarding payment in gold "were, before 1914, frequently resorted to by States *whose national currency was subject to variation* and who were endeavouring to obtain capital from abroad", it makes this admission: "It was in these conditions that Brazil was led to insert them in the greater part of its loans."

16.—It is therefore an indisputable fact that the Parties, for many years, and in perfect harmony, interpreted and executed the contracts as *paper* loans, which they were generally understood to be. Now the rule of law which is contained in Article 1156 of the French Civil Code and in virtue of which, in the interpretation of contracts, "*the joint intention of the Parties must be ascertained and it will not suffice to take the literal meaning of the terms*",—this rule is accepted by most

legislations. As we have contended from the beginning, it is not the literal meaning of the terms of the Serbian contracts to which regard must be had in order to arrive at a sound decision upon the case, but the *intention* of the Parties. It matters little that these terms are not ambiguous: the terms of contracts however clear are overcome by the intention underlying them if the manner in which they have been executed by the Parties proves that this intention was not precisely that resulting from the literal meaning of the words.

17.—Let us admit however that the foregoing reasons are not juridically sound. In that case it must at all event be recognized that this is a *doubtful* case, which, moreover, appears from the very fact that it has been submitted to the Court and, under such conditions, the principle of law must be applied according to which, "in case of doubt, the contract is to be interpreted *against the person who has stipulated and in favour of the person who has contracted the obligation*". (French Civil Code, Article 1162.)

III.

THE FRENCH CIVIL CODE AND OTHER PUBLIC POLICY LEGISLATION.

18.—But let us suppose that the *gold* clause in the Serbian contracts really constitutes an undertaking to pay in gold or its equivalent, to provide against the risks of depreciation in French currency.

In this case, the gold clause would not be valid and the contracts could not be executed in France.

The law which governs the conditions for and the currency of payments in contracts such as those which form the subject of the present case, concluded between a State and private subscribers or bondholders of another State, is the territorial law of the country where payment is made. This principle is found in numerous books on legal doctrine: it is established by the decisions of French courts, as we shall see later, and is already included in a Code of International Private Law, adopted by several nations, the Bustamante

Code, of which Article 170 provides that "the local legislation governs the conditions of payment and the currency in which it is to be made".

Now Article 1895 of the French Civil Code runs as follows :

"The obligation resulting from a loan in money is *always* simply for the amount *in figures* indicated in the contract.

If there has been an increase or *diminution* of specie before the time of payment, *the debtor must return the amount in figures lent and must return this amount only in the specie in currency at the time of payment.*"

Nothing could be clearer: the debtor must return the *amount in figures* lent and must return this amount only *in the specie in currency at the time of payment.*

This law was in force at the time when the Serbian loans were contracted and the subscribers could not be ignorant of it. They therefore knew that, in paying *in paper*, which is one of the currencies *which is legal tender* (law of August 12th, 1870), a debtor would discharge himself of his obligation, and a creditor would not be entitled to refuse the payment: refusal would even constitute an offence which is expressly provided for under Article 475, § 11, of the Penal Code.

19.—In contracts, it may be said, it is the will of the Parties that governs, and the Parties in this case may very well have intended to exclude payment in bank-notes and to provide for payment in gold alone.

No, that would not be possible: the laws governing legal tender are laws appertaining to *public policy*, since they are directly concerned with the administration of the country and with its social structure and consequently contracts of a private law character have no force as against such laws. This is the principle embodied in Article 6 of the French Civil Code: [*Translation.*] "Contracts of a private law character cannot derogate from laws concerning public policy."

"The rule", Aubry and Rau state, "that payments of sums of money must be made according to the *nominal* value of the currency at the time when these payments were effected, *being a rule founded on interests relating to public policy*, it follows that any contract infringing such rule either directly or indirectly must be considered as *void*." (*Cours de Droit civil*, 4th ed., Vol. IV, § 318.)

"Notes of the Bank of France", Planiol states, "may be used for payments *in place of gold or silver*, and that is so whatever be the sum to be paid. *The creditor is not entitled to refuse payment*, and *all contracts to the contrary are void*, the law making bank-notes legal tender being one of *public policy*." (*Traité de Droit civil*, Vol. II, 6th ed., p. 144, No. 23.)

But there is no need to have recourse to text-books to prove that Article 1895 of the French Civil Code is a provision of the nature of public policy. This nature is recognized by the Criminal Code, which, by Article 475, § 11, as has already been observed, punishes "whosoever refuses coin or money of the realm not being false or defalsed *for their current value*".

20.—Besides the Civil Code, other laws relating to public policy, the law of legal tender (August 12th, 1870) and that of forced currency (August 5th, 1914) render the gold clause in France illegal.

IV.

THE JURISDICTION OF FRENCH COURTS.

21.—The judgment in fact agrees with this conclusion as regards forced currency but draws a distinction according to which "any gold clause is void when it relates to a domestic transaction but it is not in the case of international contracts even if payment is to be made in France".

And in support of this, the jurisprudence of the French courts is cited (page 46).

But the jurisprudence of the French courts in this matter has not as yet that continuous, uniform and fixed character which is required in order to make it binding. The pleadings before the Court have clearly shown that for the purpose of estimating the validity or nullity of the gold clause, this practice bases itself at times on the nationality of the Parties, at others on domicile, at others on the locality of payment and at others on the nature of the contract.

Judgments exist in support of varying opinions.

Anyhow, M. Georges Hubrecht, in a book published only about five months ago, in which he considers at length all the phases of the practice of the French courts and not merely a few judgments, observes that after a number of modifications

this practice appears to have become fixed and may be embodied in the following principle: "*It is the place of payment which is the sole determining factor for deciding whether the gold clause or the foreign currency clause is valid or not on grounds of forced currency.*"

It is therefore not sufficient that there shall be an *international* agreement in order to render the law on forced currency inapplicable; account must be taken of the place of payment under the agreement; if it is in France, the French law on forced currency is applicable.

"In the case of any payments of French francs which are made in France", M. Savatier states, "*the French laws on fiduciary circulation are obligatorily applicable; paper francs and gold francs as we have defined them are necessarily considered to be identical....* On the contrary, there is no authority compelling the application to a foreigner of laws of police and public safety such as those with which we are concerned.... It is thus seen how simply and easily the question of the validity of the gold clause in *international relations* may be decided; it will be sufficient to look to the *place of payment*." (Dalloz, 1926, 2, 107.)

And M. Niboyet says: "Forced currency is obligatory in *international relations* in the same way as in domestic relations, in all cases when that payment is to be made on French territory." (*Revue de Droit international privé*, 1925, pp. 161 et sqq.)

22.—Reference is made to the law of June 25th, 1928 (*two months later in date than the Special Agreement*), which abolished the forced currency set up by the law of August 5th, 1914, and, after defining the franc as the French monetary unit, declares (Article 2) that: "*This definition shall not apply to international payments which, prior to the promulgation of the present law, may have been validly stipulated in gold francs.*"

But no argument can be drawn from that provision as regards the Franco-Serbian affair. *An act subsequent to the dispute and emanating exclusively from one of the Parties cannot be invoked against a right previously acquired by the other Party.*

23.—The considerations set forth in this last chapter serve to show that, even admitting the obligation to pay in gold,

the conclusions of the judgment are too absolute: due account should have been taken of the restrictions by which French public policy legislation—the Civil Code, the laws on legal tender and on forced currency—limits the Court's latitude of choice in the matter.

(Signed) EPITACIO PESSÔA.